

CSRD Readiness Checklist

What CFOs and CSOs need to confirm before their first reporting cycle under the Corporate Sustainability Reporting Directive.

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A note on how to use this checklist

CSRD is not a reporting exercise. It is a governance transformation. The organisations that will struggle most are those that treat it as a compliance deadline rather than a systems build. This checklist is designed to help leadership teams identify where their readiness gaps are before the first disclosure cycle, not after.

According to PwC's 2023 Global Sustainability Survey, 74% of executives cite data collection and quality as their primary CSRD implementation challenge [1]. EFRAG's own impact assessment estimated that first-year CSRD compliance costs for large companies average between EUR 1.2M and EUR 3.8M, with data governance being the largest single cost driver [2].

Citations: [1] PwC, 'Global Sustainability Survey,' 2023. [2] EFRAG, 'CSRD Cost-Benefit Analysis,' 2022.

Note: DS Consulting does not provide statutory audit or assurance. This checklist is for governance preparation purposes only.

SECTION 1: SCOPING AND APPLICABILITY

- Confirmed your entity falls within CSRD scope and identified your first reporting year.
Large companies: FY2024. Listed SMEs: FY2026 (with opt-out to FY2028). Check EU Directive 2022/2464.
- Identified which group entities are in scope and which consolidation approach applies.
CSRD uses a group-level reporting model. The parent entity reports for all subsidiaries unless exemptions apply.
- Determined whether you qualify for the subsidiary exemption.
A subsidiary can be exempt if the parent publishes a group sustainability report covering the subsidiary.
- Confirmed your financial year and the statutory deadline for your first disclosure.
CSRD reports are published alongside the management report, subject to the same filing deadline.
- Identified the competent authority responsible for CSRD oversight in your jurisdiction.
This varies by EU member state. You need to know who will audit and enforce compliance.
- Engaged your statutory auditor on the assurance scope and timeline.
Limited assurance is required from the first cycle. Reasonable assurance is expected by 2028.

SECTION 2: DOUBLE MATERIALITY ASSESSMENT

Double materiality is the conceptual core of CSRD. You must assess both your impact on sustainability matters (impact materiality) and sustainability matters' effect on your financial performance (financial materiality). Both dimensions must be assessed independently.

■ A double materiality assessment process has been designed and documented.

The process must be systematic, evidence-based, and involve stakeholder input. Ad hoc assessments will not satisfy auditors.

■ Impact materiality: identified your actual and potential negative and positive impacts across the value chain.

This requires mapping your operations, supply chain, and downstream activities against ESRS topic areas.

■ Financial materiality: identified sustainability-related risks and opportunities with financial relevance.

Use your existing risk register as a starting point. Link each risk to ESRS topics.

■ Stakeholder consultation has been conducted and documented.

CSRD requires evidence of stakeholder engagement in the materiality process. Document who was consulted, when, and how.

■ Material topics have been mapped to the relevant ESRS disclosure requirements.

A material topic does not automatically require all disclosures in an ESRS. Materiality drives the scope of disclosure.

■ The materiality outcomes have been reviewed and approved at board or executive committee level.

The board or equivalent body must be involved in approving the material topics.

SECTION 3: DATA GOVERNANCE AND COLLECTION

■ A data owner has been assigned for each material ESRS KPI.

Data ownership is the single most important governance decision. Without named owners, data collection will fail.

■ A data collection template exists for each KPI, including methodology, calculation rules, and data source.

Templates must be specific enough that a different person following them produces the same result.

■ GHG emissions data collection covers Scope 1, 2, and material Scope 3 categories.

Scope 3 coverage must be based on your materiality assessment. All 15 categories should be assessed for relevance.

■ The GHG calculation methodology is documented and aligned to GHG Protocol or ISO 14064.

Auditors will ask for your methodology. It must be written down, not held in one person's head.

■ Data quality controls are in place: validation rules, reasonableness checks, and exception handling.

Controls must be documented. The evidence trail must show that controls were applied, not just that they exist.

■ The data collection timeline is aligned to your financial close process.

Sustainability data collection that cannot meet the financial reporting deadline will delay the entire annual report.

■ A value chain data collection approach has been designed for material Scope 3 categories.

Primary data from suppliers is preferred. Where estimates are used, methodology must be documented.

SECTION 4: GOVERNANCE STRUCTURE AND CONTROLS

■ Board-level sustainability governance is documented: roles, responsibilities, and oversight frequency.

ESRS G1 and ESRS 2 GOV require disclosure of governance structure. It must exist before you can disclose it.

■ A sustainability reporting team has been identified with clear ownership of the reporting process.

This team must include finance, legal, operations, and sustainability. Reporting cannot sit in one function alone.

■ An internal review process exists for sustainability disclosures before publication.

Who reviews, who approves, and what sign-off is required must be documented.

■ Evidence trails are maintained for all material KPIs: source data, calculations, and approvals.

An evidence trail means a reviewer can trace a published number back to its original source without asking the preparer.

■ A CSRD disclosure calendar has been created covering data collection, review, and filing milestones.

Work backwards from your filing deadline. Most organisations underestimate the time required for review cycles.

- Legal have reviewed the disclosure requirements and confirmed the report format and filing mechanism.
CSRD reports must be filed in XHTML with iXBRL tagging from the first cycle for companies subject to ESEF.

SECTION 5: ASSURANCE READINESS

CSRD requires limited assurance from the first reporting cycle, with a trajectory toward reasonable assurance by 2028. Assurance readiness is not just about having the numbers. It is about being able to show an auditor how you got there.

- Your statutory auditor has been briefed on CSRD assurance scope and has confirmed capability.
Not all audit firms are equally prepared for CSRD assurance. Confirm early.
- A pre-assurance readiness review has been scheduled (internal or with an advisory firm).
A dry-run before the auditor arrives prevents last-minute crises and scope creep.
- All data collection processes, controls, and evidence trails are documented in a form an auditor can review.
Documentation for internal use and documentation for audit purposes are not the same. The latter must stand alone.
- Your narrative disclosures are aligned to your quantitative KPIs — there are no inconsistencies.
Auditors will check that narrative claims are supported by data. Inconsistencies are a red flag.
- A policy register exists covering all CSRD-relevant policies (environment, social, governance).
Policies must be approved, dated, and accessible. If a policy does not exist, create it before the reporting cycle.

Your next step

If fewer than 70% of these items are confirmed, your organisation carries material assurance risk in your first CSRD reporting cycle. The items in Section 3 and Section 5 have the longest lead times and should be prioritised first.

DS Consulting helps leadership teams close these gaps through advisory and implementation: scoping, data governance design, evidence trail build, and assurance readiness preparation. We do not provide statutory audit or assurance services.

Book a diagnostic at consult-ds.com/contact or write to contact@consult-ds.com

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